pattern as in the traditional triple bottom or rises into it so that the triple bottom acts as a continuation pattern. For this edition, though, I am sticking with the traditional approach and saying that price should trend downward into the start of the chart pattern, emphasizing that it is a bottoming, reversal pattern.

Table 67.1 Identification Guidelines

Characteristic	**Discussion**
Appearance	Look for three minor lows, well separated and distinct, at the end of a downward price trend.
Price trend	Price trends lower into the triple bottom so that it acts as a reversal. However, sometimes the pattern will act as a continuation of the upward price trend.
Same price	The price variation among the three bottoms is minor. The center bottom should not be significantly below the other two, otherwise it is a head-and-shoulders bottom.
Volume	The overall volume trend is usually downward but may be high in each of the three bottoms. Volume is usually highest on the first bottom and weakest on the last one.
Breakout direction, confirmation	Breakout is always upward when price closes above the highest peak between the three bottoms. If it doesn't break out upward, then it's not a triple bottom.